

Quality of Earnings Analysis Report

Acme Industrial Supply Co.

Prepared for: Sample Buyer LP

Date: 12.31.2024

Industry: Industrial Distribution

Transaction: Buy-Side Quality of Earnings

Fiscal Year End: December

Generated using shepi - an AI-assisted analysis platform

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This report presents a comprehensive Quality of Earnings analysis for Acme Industrial Supply Co..

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Engagement Overview

This Quality of Earnings report provides an independent analysis of the historical financial performance and condition of Acme Industrial Supply Co.. The analysis covers the key financial metrics, adjustments to reported earnings, and assessment of the sustainability of earnings.

COMPANY DETAILS

Target Company	Acme Industrial Supply Co.
Client	Sample Buyer LP
Industry	Industrial Distribution
Transaction Type	Buy-Side Quality of Earnings
Fiscal Year End	December
Report Date	12.31.2024

Business Overview

FOUNDED 2008	HQ Cleveland, OH	EMPLOYEES 47 FTE	OWNERSHIP S-Corporation, sing...	INDUSTRY Industrial Distribu...
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About the Business

Acme Industrial Supply Co. is a regional distributor of MRO (maintenance, repair, operations) consumables, fasteners, and safety equipment serving manufacturing and construction customers across the Midwest. Founded in 2008, the company operates from a single 60,000 sq ft warehouse with a fleet of 12 delivery vehicles and a counter-sales showroom.

Products & Services

- Industrial fasteners & hardware (38% of revenue)
- Safety equipment & PPE (24%)
- MRO consumables - adhesives, lubricants, abrasives (22%)
- Cutting tools & abrasives (16%)

Growth Drivers

- Reshoring of manufacturing in primary metro markets
- Vendor-managed inventory program with three top-10 accounts
- E-commerce launch (2024) currently 4% of orders, growing 12% MoM

Customer Profile

- B2B only. 340 active accounts; top 10 customers represent 31% of revenue. Average order \$1,850. Net 30 terms standard.

Key Risks

- Customer concentration: largest account 8.4% of revenue
- One key salesperson controls 22% of book; no formal non-compete
- Inventory turns at 4.1x vs. industry median 5.8x

Important Disclaimers

This Quality of Earnings report has been prepared solely for the use of the intended recipient in connection with the proposed transaction involving Acme Industrial Supply Co.. This report is confidential and may not be distributed to any third party without prior written consent.

The analysis presented herein is based on financial information provided by the Company and its representatives. We have not independently verified the accuracy or completeness of such information. Our procedures do not constitute an audit, review, or compilation of financial statements in accordance with generally accepted auditing standards.

This report is not intended to be, and should not be, relied upon for tax, legal, or investment advice. The recipient should consult with their own professional advisors regarding tax, legal, and financial matters related to the proposed transaction.

Forward-looking statements and projections contained in this report are based on assumptions and estimates that are inherently uncertain. Actual results may differ materially from those projected. We make no representation or warranty regarding the achievability of any projected results.

Our analysis includes adjustments to reported earnings that reflect our professional judgment regarding the nature, frequency, and sustainability of certain items. These adjustments are presented for informational purposes and may differ from adjustments that would be determined by other parties.

The scope and reliability of this analysis are directly dependent on the documents and data provided. Sections of this report may be limited or omitted where supporting documentation was not available. A complete list of documents provided is included in the Data Sources appendix.

This report was generated using AI-assisted analytical tools. It has not been prepared, reviewed, or certified by a licensed Certified Public Accountant (CPA), auditor, or other credentialed financial professional. The methodologies employed are automated and pattern-based.

Analysis Methodology: Financial data was uploaded by the report preparer and processed using automated normalization, trend analysis, and adjustment identification algorithms. AI models were used to suggest potential adjustments, which were reviewed and accepted or modified by the preparer. All figures in this report reflect the preparer's final selections.

If this report is shared with or relied upon by any third party, including but not limited to lenders, investors, or regulatory bodies, such reliance is at the sole risk of the recipient. The preparer and the platform provider accept no liability for any decisions made or actions taken by third parties based on the contents of this report.

Key Terms & Definitions

TERM	DEFINITION
FY	Fiscal Year - the 12-month accounting period used by the Company
LTM	Last Twelve Months - trailing 12-month period ending on the most recent reporting date
EBITDA	Earnings Before Interest, Taxes, Depreciation, and Amortization
Adjusted EBITDA	EBITDA adjusted for non-recurring, non-operational, and owner-related items
QoE	Quality of Earnings - analysis of the sustainability and accuracy of reported earnings
COGS	Cost of Goods Sold - direct costs attributable to production of goods or services
SG&A	Selling, General & Administrative - operating expenses not directly tied to production
NWC	Net Working Capital - current assets minus current liabilities, excluding cash and debt
DSO	Days Sales Outstanding - average number of days to collect receivables
DPO	Days Payable Outstanding - average number of days to pay suppliers



Attention Areas

Key Findings & Risk Assessment

Key Findings & Risk Assessment

Officer Salary Normalization

Officer Salary Normalization - \$360,000

Next: Review supporting documentation and confirm classification with management.

EBITDA ^ \$360,000
HIGH PRIORITY

One-Time Legal Settlement

One-Time Legal Settlement - \$185,000

Next: Review supporting documentation and confirm classification with management.

EBITDA ^ \$185,000
HIGH PRIORITY

Pro Forma Market Rent

Pro Forma Market Rent - (\$54,000)

Next: Review supporting documentation and confirm classification with management.

EBITDA v (\$54,000)
MEDIUM PRIORITY

Attention Areas - Analyst Commentary

Officer Salary Normalization

Historical financial statements reflect officer compensation that diverges from market-rate benchmarks for the role and scale of operations. A normalization adjustment of \$360,000 has been identified to restate EBITDA on a market-comparable basis. This adjustment is material and represents compensation in excess of what an arms-length buyer would incur for equivalent executive oversight.

Recommendation:

Confirm the calculation methodology and validate the market salary benchmark used for the normalized figure. Verify that the adjustment captures all forms of officer compensation, including bonuses, auto allowances, and other perquisites. Ensure employment agreements for existing officers are reviewed to understand any change-of-control or termination obligations that could affect post-close cost structure.

One-Time Legal Settlement

The company incurred a one-time legal settlement expense of \$185,000 during the period under review. This item has been added back to arrive at adjusted EBITDA, reflecting the non-recurring nature of the charge. The settlement represents a discrete event not expected to recur in ordinary course operations.

Recommendation:

Obtain copies of the settlement agreement and related legal documentation to confirm the expense amount, the nature of the underlying claim, and any ongoing obligations or contingencies. Verify that no similar claims are pending or threatened. Assess whether the issue that gave rise to the settlement points to systemic operational, compliance, or HR weaknesses that could generate future liabilities.

Pro Forma Market Rent

The company currently benefits from below-market rent on its operating facility. A pro forma adjustment of negative \$54,000 has been applied to restate EBITDA at market rental rates, reducing adjusted earnings to reflect the cost a buyer would incur under arms-length lease terms. The current arrangement appears to involve a related-party or off-market lease structure.

Recommendation:

Review the existing lease agreement to determine the landlord relationship, lease term, renewal options, and any change-of-control provisions. Obtain third-party market rent appraisals or broker opinions to validate the \$54,000 annual premium. Confirm whether the lease can be assumed post-transaction or if relocation risk exists. Assess the impact of market rent on post-close cash flow and returns.



Quality of Earnings Analysis

EBITDA Bridge & Adjustment Detail

QoE Executive Summary - LTM Metrics

Revenue \$5,684,593	Gross Profit \$2,581,129	Net Income \$1,531,309
Reported EBITDA \$1,814,916	Total QoE Adjustments \$102,000	Adjusted EBITDA \$1,916,916

3 adjustment(s) identified

Due Diligence Adjustments

ADJUSTMENTS		NET IMPACT	VERIFIED
3		\$491,000	0 / 3
MA	Officer Salary Normalization		\$360,000
	Officer Salary Normalization - \$360,000		
DD	One-Time Legal Settlement		\$185,000
	One-Time Legal Settlement - \$185,000		
PF	Pro Forma Market Rent		(\$54,000)
	Pro Forma Market Rent - (\$54,000)		

Adjustment Traceability - Items 1-3 of 3

Officer Salary Normalization Source. Manual Entry.	\$360,000
One-Time Legal Settlement Source. AI Discovery.	\$185,000
Pro Forma Market Rent Source. AI Discovery.	(\$54,000)

Key Financial Ratios - LTM

Profitability

Gross Margin	45.4%
Operating Margin	21.9%
EBITDA Margin	33.7%
Net Profit Margin	26.9%
ROA	26.6%
ROE	30.9%

Liquidity

Current Ratio	18.51x
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Efficiency

DSO	50 days
DPO	0 days
Asset Turnover	0.99x

Leverage

Debt/Equity	0.15x
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Income Statement Analysis

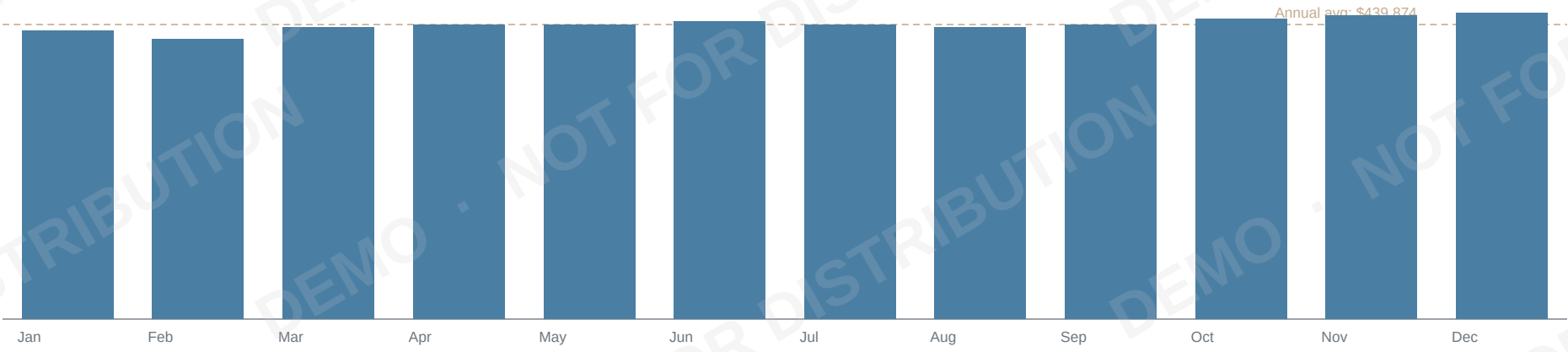
Revenue, COGS & Operating Expenses

Payroll Analysis

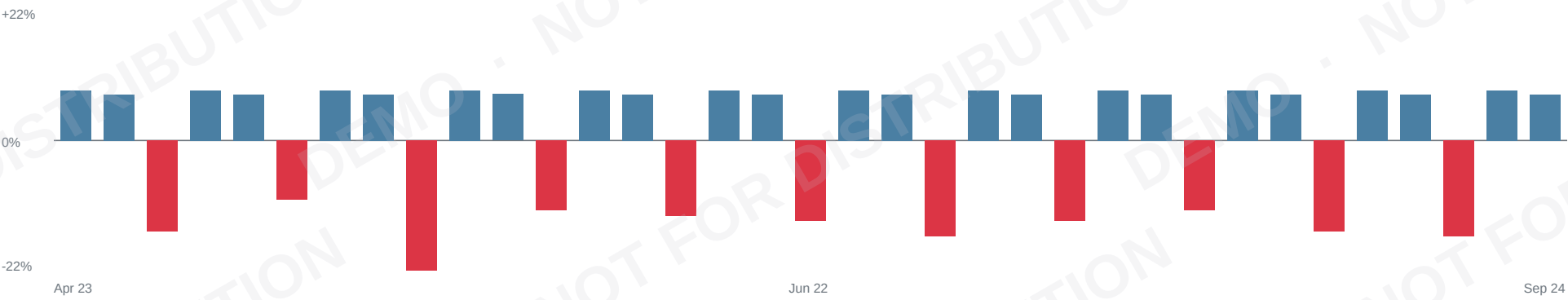
Payroll & Related	Acct #	FS Line	Sub----	FY 22	FY 23	FY 24	LTM ...	Jan-22	Feb-22	Mar-22	Apr-22	May-22	Jun-22
Payroll & Related - reported													
Officer Salaries	3100	Payro...	Offic...	\$300,000	\$300,000	\$300,000	\$300,000	\$25,000	\$25,000	\$25,000	\$25,000	\$25,000	\$25,000
Wages & Salaries	3200	Payro...	Wages	\$360,000	\$372,000	\$384,000	\$384,000	\$30,000	\$30,000	\$30,000	\$30,000	\$30,000	\$30,000
Payroll Taxes	3300	Payro...	Payro...	\$52,800	\$53,760	\$54,720	\$54,720	\$4,400	\$4,400	\$4,400	\$4,400	\$4,400	\$4,400
Total Payroll & Related				\$712,800	\$725,760	\$738,720	\$738,720	\$59,400	\$59,400	\$59,400	\$59,400	\$59,400	\$59,400
% of Revenue													
Officer Salaries				\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0
Wages & Salaries				\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0
Payroll Taxes				\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0
Total Payroll as % of Revenue				\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0

Revenue Seasonality & Month-over-Month Trend

Seasonality - Avg Revenue by Calendar Month



Month-over-Month Revenue Growth (%)



VI

AI-Powered Analysis

Flagged Transactions & Pattern Detection

AI-Flagged Transactions

TOTAL FLAGGED 4	HIGH CONFIDENCE 2	AGGREGATE \$ \$127,500	CATEGORIES 2
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Description / Reason	Account	Amount	Issue Type	Date	Conf.
Adjustment Candidate (3)		\$77,500			
Owner personal expense - golf club membership	Travel & Entertainment	\$8,500	Adjustment Cand...	2024-06-15	92%
Related-party rent payment above market	Rent Expense	\$24,000	Related Party	2024-09-01	88%
One-time legal settlement	Legal & Professional Fees	\$45,000	Adjustment Cand...	2024-03-22	95%
Risk Flag (1)		\$50,000			
Unusual round-dollar journal entry	Other Income	\$50,000	Unusual Transac...	2024-12-31	81%

GL / Journal Entry Analysis

General Ledger Findings

- * **Manual journal entries concentrated near period-end**
12 manual entries totaling \$187K were posted in the final 5 days of Q4 2024, materially above the trailing...
- * **Round-dollar transactions above threshold**
9 transactions of exactly \$10,000 or \$25,000 were identified across operating expense accounts. Review supp...
- * **Reversing entries lacking documentation**
3 reversing journal entries totaling \$62K had no narrative or attached support.